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“There are four drivers for expansion of NIMs—declining RIDF deposit, improving CASA ratio, lowering deposit rates, and growth in retail assets”

THE PARTNERSHIP ADVANTAGE

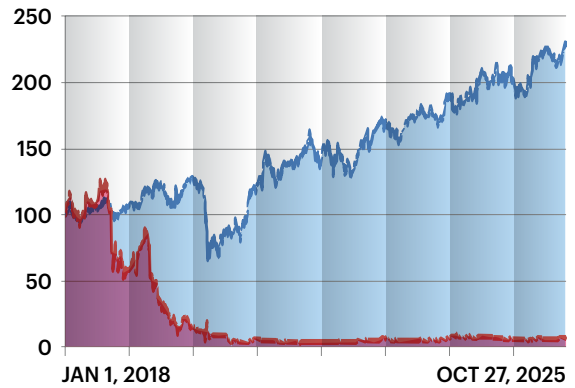
Sriram Kalyanaraman, Partner and BFSI Advisor at consultancy firm Practus, says SMBC provides access and product bench strength in trade and foreign exchange. However, he says, large private banks already run mature Japan desks and deep transaction stacks. So, YES Bank needs to be nimble and use smart pricing to become the preferred bank. “SMBC has Toyota, Mitsui, Hitachi Sumitomo Electric, and Suzuki, to name a few, as customers and offers them hedging and project funding apart from local financing. It also acts as a bridge for Japan-India trade and industrial collaboration,” he says.

Kumar points out that SMBC doesn’t meet all the banking needs of its clients. There is potential for complementary services in areas like cash management, transaction banking, trade finance, and other services that are often handled by other banks. “We can work jointly with these corporates to offer such services and generate fee-based income,” he says. These corporates are backed by a vast network of SMEs in their supply chains. YES Bank can finance the SMEs and tap their employees for loans and deposits, Kumar adds. Besides, there are emerging opportunities like acquisition financing, which is set to open up from next April.

The question, however, is whether the SMBC partnership can win back depositors’ trust? The share of low-cost current and savings accounts (CASA) is key for any bank to remain competitive and earn higher NIMs. Here, YES Bank has consciously shifted towards granular, retail-led liabilities. The bank’s CASA ratio has im-

MARKETS CAUTIOUS

• Shares of YES Bank have plunged nearly 93% since January 2018



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proved from 25% earlier to about 34% now, but its peers are ahead with about 44% share.

Some benefits from the partnership are already visible. There have been ratings upgrades by CRISIL, ICRA, India Ratings, and CARE—which have assigned the bank an ‘AA-’ rating, its highest level since March 2020. “The SMBC partnership brings credibility, global governance standards, and potential access to corporate-linked CASA through Japanese clients. This should gradually rebuild trust and diversify funding,” says Atul Parakh, CEO of investment platform Bigul.

Building on this momentum, the bank plans to tap large corporates, institutional investors, and government entities—segments that are typically guided by credit ratings and balance-sheet strength.

TOUGHEST TEST AHEAD

With voting rights of 26% in banking, SMBC will have significant influence. “It could play a bigger role later, but for now, it’s focused on its current stake and strategic input, not a majority takeover,” says Jadhav.

SMBC’s entry seems to be timed right as YES Bank aims for an RoA of 1% by FY27 and 1.5% by FY29-30. The bank’s CFO Banodkar has outlined four drivers for NIM expansion—reducing RIDF deposits, improving the CASA ratio, lowering deposit rates, and growing retail assets. It has been very cautious about raising equity and expanding aggressively, given its large equity base.

“We have been able to manage growth efficiently without taking excessive risks or consuming too much capital. Our CET-1 ratio remains strong at around 14%,